WAVERLEY GATEWAY GUIDE

Connecting International Capital

CENTRAL AFRICAN REPUBLIC

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Bangui	Capital and main commercial centre on the Oubangui River; seat of government, the BEAC national directorate and the development-partner community	Trade and distribution, construction, telecoms, services
South-west diamond belt (Berberati, Carnot, Nola, Boda)	Home to most of the eight Kimberley Process-compliant subprefectures approved for rough-diamond exports; national production reached 113,394 carats in 2025	Diamonds, gold, mining services
Lobaye and south-west forests (Mbaïki, Boda, Nola)	Forest belt supplying timber, one of the country's leading export earners	Sustainable forestry, timber processing, agro-forestry
Boali	Site of the hydroelectric plants that provide much of the country's electricity, with scope for expansion as access is extended	Hydropower, transmission, energy services
Bangui–Cameroon road corridor (to Douala)	Principal overland route for imports and fuel, supported by a $3 million AfDB-backed Cameroon–CAR cross-border trade project approved in October 2026	Road logistics, trucking, warehousing, trade
Oubangui River	River route linking Bangui with Congo and the DRC for barged fuel and goods; not navigable from April to July	River transport, fuel storage, port services
Northern and western savannah regions	Agricultural heartland in a country where most of the workforce depends on farming; source of cotton and coffee exports	Agriculture, agro-processing, livestock

INVESTOR ENTRY ROUTES

- Investment Charter (2018): guarantees free transfer of operating income and sale or liquidation proceeds, equal treatment of investors and protection against expropriation without prior fair compensation; approval applications go to the Ministry of Commerce and Industry with an opinion from the National Investment Commission
- International protections: membership of OHADA (harmonised business law and the Common Court of Justice and Arbitration), ICSID and MIGA, with investor–State arbitration available under the Charter where stated in the approval

- CEMAC monetary framework: the CFA franc (XAF) is pegged to the euro and managed by the regional central bank, BEAC, which cut its policy rate to 4.50% in June 2026; transfers are made through banks under CEMAC exchange regulations
- Mining-sector entry through permits from the ministry responsible for mines, with rough-diamond exports channelled through the eight Kimberley Process-compliant subprefectures
- Co-investment alongside World Bank and AfDB programmes, including the $113 million PARSE electricity-access project and around 1,700 km of rehabilitated roads in the north-east and north-west
- IMF engagement, with SDR 210.5 million of IMF credit outstanding in March 2026, supporting public-finance reforms such as digital financial management and nationwide electronic tax filing

MARKET-ENTRY OBSERVATION

The Central African Republic enters late 2026 on a path of steady recovery and institutional consolidation. Real GDP growth strengthened to 3.3% in 2025, up from 1.8% in 2024 and 0.7% in 2023, according to the African Development Bank, driven by agriculture, forestry, mining, construction, trade and telecoms, while investment rose to 15.8% in 2025 from 10.8% in 2024. Inflation was contained at 1.5% in 2025 and the IMF projects 1.5% again for 2026, supported by the euro-pegged CFA franc; the regional central bank, BEAC, cut its policy rate to 4.50% in June 2026 and held it in September. The IMF projects growth of 2.6% in 2026 and the World Bank 2.8%. Politically, a new Constitution was adopted in 2023 and general elections in December 2025 re-elected President Touadéra, giving continuity to IMF-supported reforms and to the 2019 Political Agreement for Peace and Reconciliation, under which 11 armed groups were dissolved between 2023 and 2025 and more than 1,300 former combatants disarmed.

The country's main structural challenge is its infrastructure gap: nearly nine in ten households lack electricity, and as a landlocked state it relies on the road corridor through Cameroon and on the Oubangui River, which is not navigable from April to July, for fuel and imports. The response is gathering pace. The World Bank's $113 million PARSE programme is expanding power access, around 1,700 km of roads have been rehabilitated in the north-east and north-west, the 4G rollout and a new fibre-optic connection are improving connectivity, and the AfDB agreed with the government in September 2026 to accelerate priority investments, followed by a $3 million Cameroon–CAR cross-border trade project in October. For investors, each of these gaps is a market in its own right: off-grid and grid-connected power, fuel storage, logistics and digital services all face substantial unmet demand, backed by development-finance partners ready to co-invest.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Security and stabilisation	Security has improved under the 2019 peace agreement, with 11 armed groups dissolved and over 1,300 ex-combatants disarmed, but conditions still vary by region	Start in Bangui and the south-west, use professional security assessments and partner with established operators; continued stabilisation widens the investable map
Sanctions and counterparty compliance	UN measures renewed by resolution 2827 (2026) until 31 July 2027 impose an arms embargo, asset freeze and travel ban on armed groups and listed individuals; the US has sanctioned Wagner-linked firms Midas Ressources and Diamville	Engage sanctions counsel and run enhanced due diligence on all mining, gold, diamond and timber counterparties; compliant, traceable supply chains command a premium with Western buyers
Electricity access	Nearly nine in ten households lack electricity and shortages constrain private-sector output	Large unmet demand creates openings for independent power, solar mini-grids and captive generation, supported by World Bank and AfDB energy programmes
Landlocked logistics	Imports and fuel depend on the Douala road corridor and a seasonal river route, raising transport costs	Build seasonal stock planning into operations; corridor upgrades and AfDB trade facilitation create opportunities in logistics, storage and trucking
Limited fiscal space	Domestic revenue is around 7% of GDP and public debt about 42.5% of GDP, with the deficit projected at 3.9% of GDP in 2026, limiting public co-financing	Structure projects with DFI participation and risk-mitigation instruments; digital tax and financial-management reforms are steadily strengthening revenue collection

Issue	Potential Impact	Possible Mitigation
Mineral traceability	Diamond exports are permitted only from eight Kimberley Process-compliant subprefectures, and recorded exports were $7.9 million in 2025, against $12.8 million in 2024	Source only from compliant zones with full documentation; formalisation of the sector offers upside for responsible, well-governed operators
Shallow financial sector	Bank account ownership is very low and the banking sector is the smallest in CEMAC, limiting local finance and payments	Arrange offshore or DFI-backed financing; expanding 4G and fibre connectivity opens a sizeable market for mobile and digital financial services

INVESTOR RISK NOTE

The Central African Republic offers a frontier-market risk profile with a clear direction of travel. Growth accelerated for two consecutive years to 3.3% in 2025, inflation is low and anchored by the euro-pegged CFA franc, and the December 2025 elections have provided policy continuity for IMF-supported reforms. Security has improved materially under the 2019 peace agreement, although conditions still differ by region and site-level security planning remains essential. Investors must treat sanctions compliance as a core requirement: UN measures, renewed in 2026 until July 2027, target armed groups and listed individuals, and US sanctions apply to Wagner-linked mining and trading companies, so all counterparties, especially in gold, diamonds and timber, should be screened with specialist sanctions counsel. Diamond trading must stay within the Kimberley Process-compliant zones. Investors who combine rigorous compliance with development-finance partnerships are well placed to benefit from early-mover positions in energy, logistics, agriculture and responsibly governed mining.

MARKET ACCESS

The Central African Republic is a member of the Central African Economic and Monetary Community (CEMAC), giving access to a regional customs union with Cameroon, Chad, Congo, Gabon and Equatorial Guinea and a shared currency pegged to the euro, and of the wider Economic Community of Central African States (ECCAS). It is a WTO member and a signatory to the African Continental Free Trade Area, and as a least-developed country it qualifies for duty-free, quota-free access to the EU under the Everything But Arms scheme. Main exports are diamonds, timber, cotton and coffee. Trade flows principally through the road corridor to Cameroon's Atlantic port of Douala, complemented by the Oubangui River route to Congo and the DRC, with a new AfDB-backed cross-border trade project approved in October 2026 set to strengthen the Cameroon link.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Faustin-Archange Touadéra)	Sets national strategy; re-elected in December 2025 under the 2023 Constitution	Primary reference point for strategic direction and high-level partnerships
Ministry of Commerce and Industry	Receives investment-approval applications under the 2018 Investment Charter, advised by the National Investment Commission	First point of entry for Charter approval, incentives and investor guarantees
Ministry of Finance and Budget	Leads the IMF relationship, revenue and digital public-finance reforms	Essential for fiscal incentives, tax matters and public co-financing
Bank of Central African States (BEAC), national directorate	Regional central bank managing the euro-pegged CFA franc and foreign-exchange regulation	Relevant for transfers, repatriation and banking matters
Ministry responsible for mines	Issues mining permits and oversees Kimberley Process implementation for diamonds	Essential counterpart for any mining or minerals-trading investment
Prime Minister's Office	Coordinates government delivery across ministries	Key channel for cross-ministry investment proposals

Actor	Why It Matters	Waverley Engagement Angle
World Bank and African Development Bank country offices	Largest development financiers, funding energy, roads, agriculture and trade facilitation	Natural partners for co-financing and risk sharing

CURRENT INTERNATIONAL BUSINESS CHANNELS

Development-finance institutions are the most effective entry channel. The World Bank's portfolio spans energy access, roads, food security, education and health, and it will begin government consultations on a new Country Partnership Framework in November 2026; the African Development Bank agreed with the government in September 2026 to accelerate priority investments and approved a $3 million Cameroon–CAR trade project in October. The IMF provides a regular forum for reform dialogue. The National Investment Commission and the Ministry of Commerce and Industry are the formal gateways for Charter approval, and regional CEMAC business networks centred on Douala offer practical intelligence on logistics and trade into the country.

INVESTOR PROFILE BEST SUITED

The Central African Republic best suits investors with frontier-market experience and a long-term horizon: energy developers targeting solar, mini-grid and hydropower opportunities in a market where most households remain unconnected; logistics and fuel-storage operators positioned on the Douala corridor and Oubangui route; agriculture, agro-processing and sustainable forestry investors; and telecoms and digital-finance providers building on the 4G and fibre rollout. Responsible mining investors with strong compliance capability can access diamonds and gold through Kimberley Process-compliant zones. Impact investors and those co-investing alongside the World Bank and AfDB will find the most supportive risk-sharing structures.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission sanctions and counterparty due diligence
Engage specialist counsel to screen partners against UN, US, UK and EU lists before any commitment, particularly in mining, gold, diamonds and timber.

STEP 2: Secure Investment Charter approval
Apply to the Ministry of Commerce and Industry for approval under the 2018 Investment Charter, specifying transfer guarantees and the chosen arbitration route.

STEP 3: Partner with development-finance institutions
Approach the World Bank and AfDB country teams early to explore co-financing, guarantees and links with existing energy and infrastructure programmes.

STEP 4: Plan logistics around the corridor and river seasons
Build supply chains on the Douala corridor with seasonal stockholding to cover the period when the Oubangui is not navigable.

STEP 5: Structure contracts under OHADA and CEMAC rules
Use OHADA business law and arbitration and plan currency transfers through approved banks under BEAC exchange regulations.